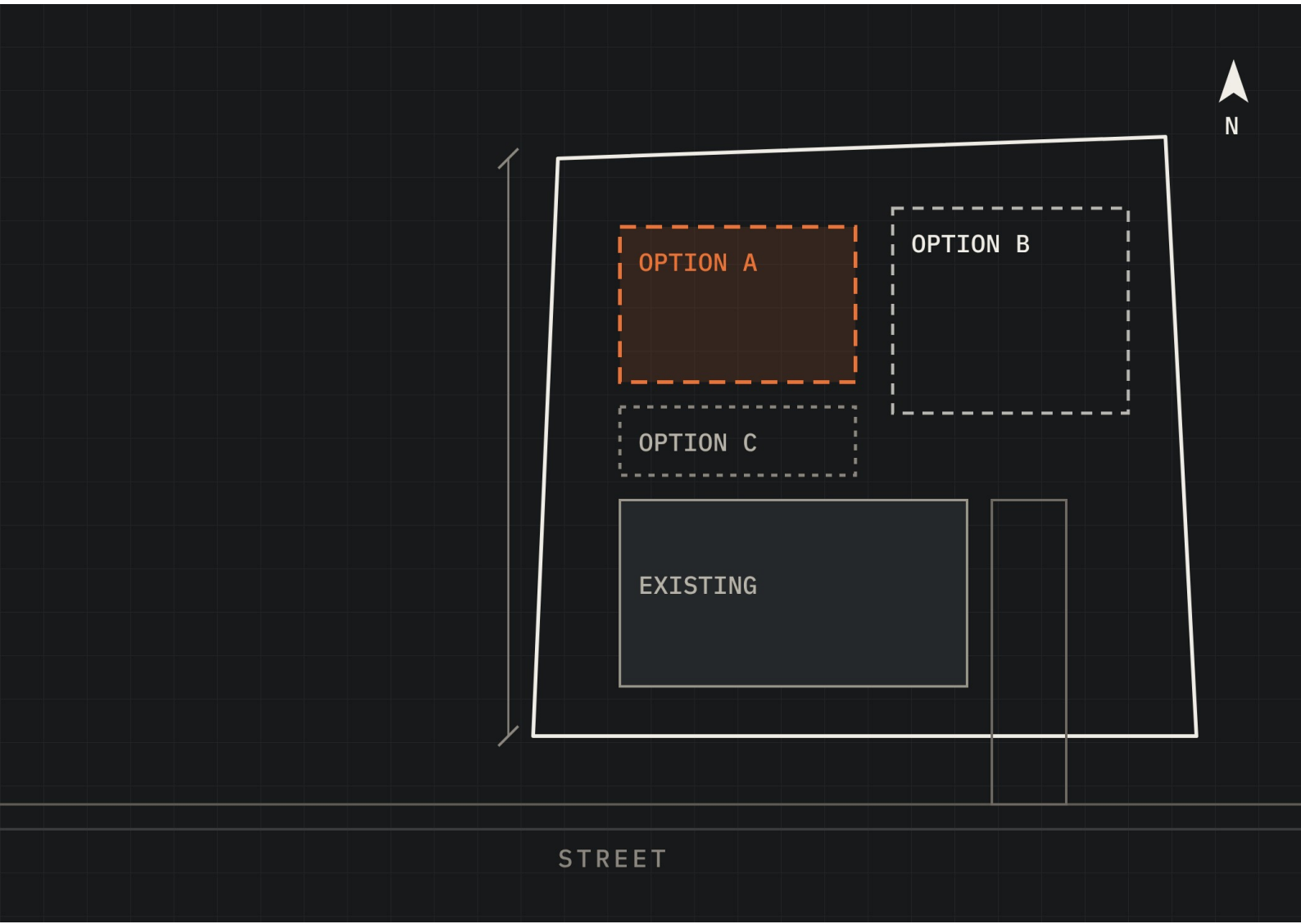
LIMESTONE PLAINS
ADVISORY

FEASIBILITY STUDY · SAMPLE

50 Gardiner Street Downer ACT 2602

Prepared for a hypothetical owner · October 2026

LPA-2026-SAMPLE-01



REPORT NO.
LPA-2026-SAMPLE-01

DATE ISSUED
6 October 2026

PREPARED FOR
Hypothetical owner (sample)

PROPERTY
Block 4, Section 67, Downer

SITE VISIT
Not carried out: desk-based sample

LIMESTONE PLAINS ADVISORY
Canberra ACT
[email]
[phone]

Dear owner,

Thanks for asking us to look at 50 Gardiner Street. You wanted to know whether a granny flat to rent out is worth building, and whether it would get in the way of rebuilding the house later.

In this report we look at what the current rules allow on your block, what each realistic option would cost, whether the numbers work, and who you would need to bring in next.

Our recommendation is on the first page of section 1. The sections after it show how we got there, so you, your accountant or your designer can check the working.

We don't build, design or lodge applications, and nobody we mention in this report pays us, so our only interest is giving you a straight answer.

Yours sincerely,

Brendan Le Galludec
Founder, Limestone Plains Advisory



ABOUT THIS SAMPLE

Not reviewed. Site facts come from a Quantity Surveying 3 appraisal (University of Canberra) and public sources checked on 6 October 2026. The brief is hypothetical and all figures are illustrative.

Client reports carry the orange Reviewed seal once a Certified Quantity Surveyor and a Registered Planner have signed them off.

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01 · Recommendation

RECOMMENDATION	**Go ahead, with conditions** once you have decided the long-term plan for the 1960s house
PREFERRED OPTION	Option B: a detached 2-bedroom granny flat of about 60 m² in the rear corner on the driveway side, clear of the large rear tree
REASONS	01 The likely all-in cost of about $221,625 would be recovered in about 10 years of rent, a net return of about 9.7% a year before tax and any loan interest. 02 At 664 m² with an 88 m² house, the block has room for a 60 m² flat while keeping private open space and planting area. A secondary residence is also exempt from the Lease Variation Charge. 03 The main risk is the long-term plan for the house. It adds little value (EER 1.0, likely asbestos), and a granny flat can't be sold separately. If you might rebuild or build a dual occupancy within 10 years, the flat needs to sit where it won't get in the way.
FIRST STEP	Commission an arborist's report and a Before You Dig search. The rear tree and the sewer route decide whether Option B fits where it should, and both are cheap to check before paying a designer.

KEY FIGURES, OPTION B

MEASURE	BEST CASE	LIKELY	WORST CASE
Total project cost (incl. GST)	$159,500	$221,625	$304,750
Weekly rent	$600	$560	$520
Net yearly income, before tax	$24,594	$21,594	$18,154
Payback period	6.5 years	10.3 years	16.8 years
Time to tenant moving in	9 months	12 months	18 months

Best case pairs the lowest cost with the highest income; worst case pairs the highest cost with the lowest income.

02 · Your brief

This sample uses a typical owner-occupier brief. We measured each option against it.

MAIN GOAL	Rental income to help with the mortgage
WHO WOULD LIVE THERE	A long-term tenant (single person or couple)
BUDGET	Up to about $220,000 including GST and fees
TIMING	Tenant in place within about 12 months
PLANS FOR THE HOUSE	Live in it for the next 5–10 years; may renovate or rebuild later
MUST-HAVES	Separate entry and courtyard for the tenant; keep a usable backyard
CONCERNS	Privacy, losing the backyard, approval time
YOUR QUESTIONS	Will it pay for itself? What could stop it? Does it get in the way of rebuilding later?

03 · Your block

A large block with good side access. Two mature trees and the unknown sewer route need checking before design starts.

BLOCK AND SECTION	Block 4, Section 67, Downer
BLOCK AREA	664 m² (a large block, over 500 m²)
ZONE AND OVERLAYS	RZ1 Suburban; no overlay; not heritage listed
CROWN LEASE	99-year residential Crown lease. *Purpose clause to confirm from a title search.*
EXISTING HOUSE	1960s, 2 bedrooms, 1 bathroom, carport; 88 m² internal; energy rating (EER) 1.0
LAST SALE	$925,000 (31 October 2023), mainly land value
GENERAL RATES	$4,397 a year
BUILDING ACCESS	Driveway runs down one side past the carport to a rear shed, giving vehicle access to the back of the block
TREES	Two possibly protected mature trees: one in the front yard, and a large one whose canopy covers much of the backyard away from the driveway. Protected if 8 m+ tall, 8 m+ canopy, or 1 m+ trunk circumference at 1.4 m
SOIL	Canberra reactive clay is likely; a geotechnical report will set the slab design
SERVICES	Water, sewer and power can be extended from the existing connections. New gas connections are banned, so the flat must be all-electric. *Sewer route to confirm with Before You Dig.*
HAZARDOUS MATERIALS	Asbestos is likely in the 1960s house. It matters only if work touches the house (Option C, or connections run through it)
SLOPE AND ORIENTATION	*To confirm on site.*



AERIAL

Block 4 outlined, with the two mature trees circled. The rear tree's canopy sits on the side away from the driveway, which is why Option B goes in the rear corner on the driveway side.

Source: ACTmapi, via the QS3 appraisal.

04 · What you could build

Three realistic options under the current rules. Sizes and positions are indicative; a designer would refine them after the tree and sewer checks.

Option A · Compact 1-bedroom flat

WHAT IT IS	Detached 1-bedroom flat, about 45 m², rear corner on the driveway side
BUILD TYPE	Prefab or kit home would suit
ADVANTAGES	Lowest cost; easier to keep clear of the rear tree; least impact on the backyard
DRAWBACKS	Lower rent; smaller tenant pool than a 2-bedroom

Option B · 2-bedroom flat (recommended)

WHAT IT IS	Detached 2-bedroom, 1-bathroom flat, about 60 m², rear corner on the driveway side, replacing the shed
WHERE ON THE BLOCK	Behind the house on the driveway side, with its own courtyard facing away from the main backyard
BUILD TYPE	Custom or modular; all-electric with a heat pump hot water system
ADVANTAGES	Strongest rent; good access from the driveway; keeps the main backyard mostly intact
DRAWBACKS	Higher cost; the rear tree may push it closer to the boundary or reduce its size

Option C · Family wing (no separate dwelling)

WHAT IT IS	About 35 m² extension to the house: bedroom, ensuite and sitting room, sharing the main kitchen
APPROVALS	Can be exempt from a DA if it meets the single dwelling controls and neighbours are informed; building approval still needed
ADVANTAGES	Cheaper and faster; suits housing a family member
DRAWBACKS	Can't be rented as a separate home; work on the 1960s house means asbestos handling

Comparison

OPTION	SIZE	APPROVAL	RENTABLE	COSTED IN
A	about 45 m²	DA (design and siting)	Yes	Not in this sample
B	about 60 m²	DA (design and siting)	Yes	Section 6
C	about 35 m²	Can be DA-exempt	No	Not in this sample

A client Feasibility Study costs every option. This sample costs the recommended option only.

Indicative fit on the block, Option B

CONTROL (LARGE RZ1 BLOCK)	LIMIT	WITH OPTION B	RESULT
Site coverage (40%)	265.6 m²	about 185 m²	Fits
Gross floor area (50% plot ratio)	332 m²	about 148 m²	Fits
Private open space	348.4 m²	about 400 m²	Fits, but check
Planting area (30%)	199.2 m²	*Depends on paving*	Check in design

Uses the single dwelling controls as a guide (ACT Government 2025). Secondary residence rules in the Territory Plan may differ; confirm before design.

DUAL OCCUPANCY

Since 1 July 2026 the missing middle reforms also allow a dual occupancy on this block, which, unlike a granny flat, can be separately titled and sold. It needs a development application, a lease variation and a Lease Variation Charge (currently halved for eligible projects). The QS3 appraisal found it only beats a single new house if each home sells for about $1.1 million or more. A town planner should look at this before you commit to Option B.

05 · Approvals

Development application needed: yes. A secondary residence needs a DA for its design and siting. The lease variation to allow it is exempt from the Lease Variation Charge.

#	STEP	WHO DOES IT	TYPICAL TIME	COST
1	Arborist report and Before You Dig search	Arborist; owner	2–3 weeks	In section 6
2	Pre-application advice (optional)	ACT Planning	2–4 weeks	Fee applies
3	Design, drawings, geotechnical report	Building designer; engineer	6–10 weeks	In section 6
4	DA (design and siting) and lease variation	Designer or owner, via ACT Planning	2–4 months	DA fee; no LVC
5	Building approval	Licensed building surveyor (certifier)	3–6 weeks	In section 6
6	Construction	Licensed builder	4–6 months	In section 6
7	Certificate of occupancy; services connected	Certifier, Icon Water, Evoenergy, nbn	2–4 weeks	In section 6

Times are indicative. Take current fees from the Planning (Fees) Determination 2026.

PROPOSED RULE CHANGE

The Planning (Missing Middle Housing) Amendment Bill 2026, presented on 24 March 2026, would give every single-dwelling Crown lease an automatic right to a secondary residence and make the lease change exempt development. As at 6 October 2026 it is still before the Assembly. It would not remove the DA for design and siting.

06 · Cost estimate

Option B (about 60 m², 2 bedrooms). All figures include GST. These figures are for deciding whether to go further; a builder's quote will still be needed.

ITEM	LOW	LIKELY	HIGH
Design, drawings, engineering, geotechnical and arborist reports	$10,000	$14,000	$20,000
Approvals and fees (DA, building approval)	$6,000	$9,000	$14,000
Site preparation (remove rear shed, earthworks)	$5,000	$9,000	$15,000
Slab and footings (reactive clay)	$15,000	$20,000	$27,000
Frame, roof and external walls	$40,000	$50,000	$58,000
Windows and doors	$9,000	$12,000	$16,000
Fit-out: kitchen, bathroom, laundry, finishes	$30,000	$38,000	$46,000
Services: plumbing, drainage, all-electric, nbn	$18,000	$23,000	$30,000
Utility connections (sewer run, switchboard)	$6,000	$10,000	$18,000
Landscaping, paths, fencing, driveway	$6,000	$10,000	$16,000
Tree protection (if works near a protected tree)	$0	$2,000	$5,000
Subtotal	$145,000	$197,000	$265,000
Contingency (10% / 12.5% / 15%)	$14,500	$24,625	$39,750
Total project cost	**$159,500**	**$221,625**	**$304,750**

Sense check: a 2-bedroom granny flat of about 60 m² in Canberra typically costs $140,000–$210,000 turnkey, with site works, approvals and landscaping often extra (What's the Damage 2026). A client report uses a commercially licensed cost guide and local builder prices.

COST DRIVERS

- Sewer route: a long or deep run to the rear adds cost; a main under the site could force a redesign.
- The rear tree: a protected tree may need a tree management plan and bond, and can shrink the building zone.
- Reactive clay: a stiffer slab is likely; the geotechnical report decides.
- Finishes and fit-out choices.

PREFAB OR CUSTOM BUILD

A modular or kit flat could save time on site and possibly 10–15% on the building itself, but site works, connections and approvals cost the same. With good driveway access, a modular unit is worth pricing alongside a custom build.

07 · Rent and return

A new 2-bedroom flat in Downer should rent for about $520–$600 a week. This is an estimate based on advertised properties, not a rental appraisal.

COMPARABLE RENTALS

PROPERTY	TYPE	BEDS	RENT / WK	SOURCE AND DATE
5/28 Frencham St, Downer	Unit, 70 m², 1 bath	2	$580	OnTheHouse; Jan–Mar 2026
6/87 Antill St, Downer	Townhouse, 2 bath	2	$650	Domain; Feb 2026
Downer median, units	All units	Mixed	$520	property.com.au; 12 months
Downer median, 2-bed houses	Houses	2	$585	property.com.au; 12 months

A client report uses 5–8 current comparables, ideally including granny flats. Viewed 6 October 2026.

Estimated rent: $560 a week (likely), because a new, energy-efficient 2-bedroom flat with its own courtyard should rent above the unit median but below a 2-bathroom townhouse, and tenants usually discount for sharing a block with the owner.

YEARLY FIGURES, LIKELY CASE

ITEM	PER YEAR
Gross rent ($560 × 52 weeks)	$29,120
Less vacancy (2 weeks)	−$1,120
Less ACT land tax while rented (about 41% of the full-property figure)	−$3,606
Less landlord insurance and maintenance	−$2,800
Less property management	$0 (self-managed)
Net yearly income before tax	**$21,594**

Land tax: if the whole property were rented it would be about $8,896 a year. ACT land tax on a rented granny flat is based on the rented floor area; 60 m² of 148 m² total is about 41%. Confirm the method with the ACT Revenue Office.

NET YIELD	About 9.7% a year ($21,594 ÷ $221,625)
PAYBACK	About 10.3 years, before tax and any loan interest
IF BORROWED	Each 1% of interest on a $221,625 loan costs about $2,216 a year, so borrowing at current rates would absorb a large share of the net income
OTHER VALUE	Flexibility: the flat could later house family, a carer or a home office
TAX	Renting out the flat makes part of the property liable for ACT land tax while it's rented, can reduce the capital gains tax main residence exemption, and creates taxable rental income. We don't give tax advice; please confirm these with an accountant or the ACT Revenue Office.

08 · Risks

None of these rule the project out, but the first two should be checked before paying a designer.

RISK	LIKELIHOOD	IMPACT	WHAT TO DO
Rear mature tree is protected and limits the building zone	Medium	High	Arborist report first; site the flat clear of the root zone; allow for a tree management plan and bond
Sewer line runs under the best building spot	Unknown	High	Before You Dig search; check with Icon Water; cost any relocation
Flat blocks a future rebuild or dual occupancy	Medium	High	Decide the 10-year plan for the house first; get a town planner's view on siting
Reactive clay raises slab cost	High	Medium	Geotechnical report early; keep contingency
Building costs rise during design and approval	Medium	Medium	Fixed-price contract; 12.5–15% contingency
Interest rates make a loan-funded build uneconomic	Medium	High	Talk to an accountant and a licensed broker before committing
Land tax and other tax effects reduce the return	High	Medium	Accountant review; land tax already included above
Neighbour objections during the DA	Low	Medium	Talk to neighbours early; design for privacy

09 · Next steps

RECOMMENDED ORDER

01 Decide the 10-year plan for the existing house: keep, renovate, rebuild or dual occupancy.

02 Commission an arborist's report and lodge a free Before You Dig enquiry.

03 Order a Crown lease search to confirm the purpose clause.

04 Speak to an accountant about land tax, capital gains tax and funding.

05 If the checks are clear, get 2–3 prices for Option B: one custom builder and one modular supplier, then a Quote Review.

06 Engage a building designer for DA drawings; consider pre-application advice.

PROFESSIONALS YOU MAY NEED

WHO	WHAT FOR	WHEN
Arborist	Report on the rear tree and its root zone	First
Town planner	View on siting against a future dual occupancy	Before design
Accountant	Land tax, capital gains tax, funding	Before committing
Building designer	Concept and DA drawings	After the checks
Builders (custom and modular)	Fixed-price quotes for Option B	After concept design

If you'd like names, we can suggest two or three local firms for each role. We don't receive referral fees from any of them.

QUESTIONS FOR BUILDERS

- ☐ Is your quote fixed-price, and what exactly is excluded?
- ☐ Which items are allowances (provisional sums), and are they realistic?
- ☐ Who handles approvals, utility connections and the certifier?
- ☐ How do you deal with reactive clay and work near protected trees?
- ☐ What's your current start date and build time?
- ☐ Can I see your licence and two recent granny flat projects?
- ☐ Is home building warranty insurance included?

10 · Scope, assumptions and sources

PURPOSE

A preliminary assessment to help decide whether to investigate a secondary dwelling further. It is based on public information and an earlier university appraisal of the property, on the date shown. No site visit was carried out for this sample.

LIMITATIONS

- a quote or fixed price: costs are estimates and will change;
- a valuation or rental appraisal;
- a building inspection or condition report on the existing house;
- legal, financial, credit or tax advice;
- a planning or building approval, or a promise one will be granted.

RULES AND FEES

Planning rules, fees and taxes change. Confirm requirements with ACT Planning and the relevant authorities before spending money. Nothing in this report limits your rights under the Australian Consumer Law.

KEY ASSUMPTIONS

- Standard-specification, all-electric build at October 2026 prices.
- Unfurnished 2-bedroom flat with private entry and courtyard, self-managed.
- No contamination, rock excavation or sewer main relocation allowed for.
- The owner lives in the main house throughout.

SOURCES USED

SOURCE	USED FOR	CHECKED
ACTmapi – Section 67 Block 4, Downer	Zone, overlays, block area, aerial	26 Sep 2026
Single Dwelling Housing Development Control Declaration 2025 (No 2)	Site coverage, plot ratio, open space	28 Sep 2026
Territory Plan 2023	Residential zone rules	6 Oct 2026
Lease Variation Charge – ACT Planning	Secondary residence LVC exemption	6 Oct 2026
Missing middle housing reforms	Dual occupancy option	6 Oct 2026
Media release: Enabling more Missing Middle housing	Proposed secondary residence entitlement	6 Oct 2026
Planning (Missing Middle Housing) Amendment Bill 2026	Bill status	6 Oct 2026
Tree protection laws – City Services	Protected tree tests	26 Sep 2026
New gas connections regulation (2023)	All-electric requirement	26 Sep 2026
What's the Damage – granny flat costs in Canberra	Cost sense check	6 Oct 2026
property.com.au – Downer suburb data	Median rents	6 Oct 2026
About land tax – ACT Revenue Office	Land tax on rented granny flats	6 Oct 2026

SOURCE	USED FOR	CHECKED
QS3 appraisal of 50 Gardiner Street (University of Canberra, 2026)	Block facts, rates, land tax, sale history, trees, asbestos	6 Oct 2026

PREPARED BY	Brendan Le Galludec, Limestone Plains Advisory
COST REVIEW	*Not reviewed (sample)*
PLANNING REVIEW	*Not reviewed (sample)*
PI INSURANCE	*Not applicable (sample)*

